THE UNIVERSITY OF HONG KONG
FACULTY OF BUSINESS AND ECONOMICS

PMAA7024 Financial Statement Analysis: A Data Analytic Approach

GENERAL INFORMATION

Instructor: Prof. Nafis RAHMAN
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Consultation Time: By appointment
Tutor/Teaching Assistant: TBA
Pre-requisites: Financial Accounting Foundation or equivalent
Co-requisites: N/A
Mutually Exclusive: N/A
Course Website: Moodle
Class Dates: June 5, June 6, June 12, June 13 Class Time: 9:15am–12:45pm and 2:00pm–6:00pm
Group Presentation (& feedback) Date: June 18
Final Group Report Submission Date: June 21

COURSE DESCRIPTION

Financial statement analysis is a critical skill for accountants, financial analysts, investors, consultants, and corporate managers. This course examines how accounting information can be used to evaluate firm performance, forecast future financial outcomes, and estimate firm value.

The course emphasizes a practical and applied approach. Students learn how to collect and analyze financial information from corporate disclosures, industry reports, economic sources, and market databases. Topics include business analysis, accounting analysis, earnings quality assessment, ratio analysis, forecasting, cost of capital estimation using CAPM and Fama-French multifactor models, and valuation using discounted cash flow, residual income, residual operating income, and relative valuation techniques.

The course adopts the perspective of a professional analyst. Students will learn how accounting, business strategy, economic conditions, and market information jointly influence firm value. The course incorporates a data analytics orientation through benchmarking, cross-sectional analysis, forecasting models, factor-based risk estimation, and sensitivity analysis.

COURSE OBJECTIVES

Develop the ability to analyze financial statements, evaluate earnings quality, forecast financial performance, estimate cost of capital, perform business valuation, and communicate analytical conclusions. The course emphasizes the practical use of accounting and financial information in business and investment decision making.

REQUIRED/RECOMMENDED READINGS

There is no required textbook for this course.

Primary Reference book: Lundholm, R. and Sloan, R., *Equity Valuation and Analysis* (7th Edition –available online)

Supplementary Reference book: Penman, S., *Financial Statement Analysis and Security Valuation*, fifth edition, New York, McGraw-Hill/Irwin, 2013

PROGRAMME LEARNING OUTCOMES

PLO1: Acquisition and internalization of knowledge of the programme discipline
PLO2: Application and integration of knowledge
PLO3: Inculcating professionalism and leadership in the interdisciplinary fields of accounting analytics
PLO4: Developing global outlook
PLO5: Mastering communication skills

COURSE LEARNING OUTCOMES

Course Learning Outcomes	Aligned Programme Learning Outcomes
CLO1: Construct the analytical skills required to interpret financial statements, evaluate accounting information, and perform comprehensive financial statement analysis.	PLO1 & PLO2
CLO2: Apply accounting, business, industry, and market information to evaluate firm performance, earnings quality, profitability, growth, and risk.	PLO1 & PLO2
CLO3: Prepare forecasted financial statements and perform structured forecasting of key value drivers using publicly available information.	PLO1 & PLO2 & PLO4
CLO4: Apply discounted cash flow valuation, residual income valuation, residual operating income valuation, and relative valuation techniques in estimating the intrinsic value of business enterprises using publicly available information.	PLO1 & PLO2 & PLO4
CLO5: Effectively communicate financial analysis, forecasting assumptions, valuation conclusions, and investment recommendations through professional reports and presentations.	PLO3 & PLO4 & PLO5

COURSE TEACHING AND LEARNING ACTIVITIES

TLA1. Interactive lectures and workshops

• Lectures on financial statement analysis, forecasting, cost of capital and valuation.
• In-class spreadsheet exercises and mini-cases.
• Class discussions using real company examples.

TLA2. Group project, presentation and outside-classroom activities

• Company analysis and valuation project.
• Group meetings, consultations and presentation preparation.
• Equity research style report preparation.

TLA3. Homework and self-study

• Assigned readings.
• Financial statement analysis exercises.
• Forecasting and valuation assignments.

Activity	Expected Contact Hours	Study Load (%)
Interactive lectures and workshops	30	25.0%
Group project and presentation	55	45.8%
Homework and self-study	35	29.2%

ASSESSMENT METHODS

Assessment Methods	Weight	Aligned CLOs
Assignment 1: Financial Statement Analysis and Forecasting	20%	CLO1,CLO2,CLO3
Assignment 2: Cost of Capital and Valuation	20%	CLO2,CLO3,CLO4
Group Project Presentation and Report	60%	CLO1-CLO5

STANDARDS FOR ASSESSMENT

A+, A, A-: Excellent (90-100)
B+, B, B-: Good (80-89)
C+, C, C-: Satisfactory (65-79)
D+, D: Pass (50-64)
F: Fail

Assessment Rubrics for Each Assessment

Assignment 1 (20%): Individual assignment focusing on business analysis, accounting analysis, ratio analysis, and forecasting.

Assignment 2 (20%): Individual assignment focusing on CAPM, Fama-French multi-factor model estimation, valuation, and sensitivity analysis.

Group Project (Presentation and Report) (60%): A major part of the course evaluation is a group project based on a real-life listed company. Students are required to perform a comprehensive financial statement analysis and valuation using tools developed during the course. Part I of the project requires business analysis, accounting analysis, earnings quality assessment, ratio analysis and forecasting. Part II requires cost of capital estimation and valuation using discounted cash flow, residual income, residual operating income and relative valuation techniques. The project concludes with an investment recommendation. Each group will submit a final report and make a presentation. Detailed instructions will be announced in class.

MEANS/PROCESSES FOR STUDENT FEEDBACK ON COURSE

Students may provide feedback through email, consultations with the instructor, and class discussions.

COURSE POLICY

The University regulations on academic integrity and plagiarism will be strictly enforced. All submitted work must properly acknowledge external sources and comply with University policies on academic honesty.

COURSE CONTENT AND TENTATIVE TEACHING SCHEDULE

Date	Topics	Homework	Reference Chapters
June 5 AM	Introduction; Information Collection; Business Analysis		L&S Ch.1-3
June 5 PM	Accounting Analysis; Earnings Quality		L&S Ch.4
June 6 AM	Profitability Analysis; DuPont Analysis		L&S Ch.5
June 6 PM	Forecasting and Pro-forma Statements	Assignment 1 Released	L&S Ch.7-8
June 12 AM	Risk and Return; CAPM		L&S Ch.9
June 12 PM	Fama-French Three-Factor Model; Analytics Applications		Supplementary
June 13 AM	DCF Valuation; Relative Valuation		L&S Ch.10-11
June 13 PM	Residual Income and ReOI Valuation; Course Wrap-Up	Assignment 2 Released	Supplementary

~~~End of Classes~~~

June 18	***Group Presentation and instructor's feedback before submitting the final report***
June 21	***Submission of Group Project Report: Submit electronically.***